



Federal Law No. 2 of 2015 on Commercial Companies in United Arab Emirates

The New Law has become effective on 1 July 2015 (“Effective Date”) and has replaced UAE Federal Law No. 8 of 1984 (“Existing Law”). All companies are required to amend their existing memoranda and articles of association to reflect and comply with the changes introduced by the New CCL and any companies that fail to make the requisite amendments by 30th June 2016 will be **automatically dissolved**.

1. Key changes for all UAE companies

New CCL	Old CCL
Foreign ownership restriction	
New provision explicitly invalidating any transfer of shares which may affect the minimum UAE national shareholding of 51% (article 10 of New CCL).	No provision explicitly invalidating any transfer of shares that will be in breach of the minimum UAE national shareholding of 51%. However, the Old CCL did prohibit any assignment of UAE national shareholding below the 51% threshold.
Holding companies	
LLCs and JSCs are now permitted to be established as holding companies in order to conduct business activities solely through their relevant subsidiaries (article 266 of the New CCL).	The concept of a “holding company” was not recognized.
Director’s / manager’s duties	
A director / manager are a person authorized to manage the company and must preserve the rights and works of the company with care of a precise person (article 22 of the New CCL). In addition, any provision in the company’s memorandum and articles of association exempting any director / manager from personal liability (that he / she bear in his / her capacity as an officer) is voidable (article 24 of the New CCL).	Limited duties and obligations imposed on directors / managers.
Companies Registrar	
The Minister of Economy shall issues a regulation setting out the activities and functions of the Companies Registrar. In particular, the Companies Registrar shall supervise the trade name register (to avoid double registration), hold company records and enable concerned parties to inspect the relevant company records (articles 33 – 38 of New CCL).	No Companies Registrar.



Accounting requirements	
All companies are required to keep accounting records at their relevant head offices for a minimum period of five years (article 26 of New CCL). In addition, all companies shall apply international accounting standards and practices when preparing their relevant accounts in order to give a clear and accurate view of the profit and loss of the relevant companies.	Limited accounting requirements imposed on companies.
Free zone companies	
Generally, the New CCL shall not be applicable to free zone companies. However, if the laws of the free zone permit certain free zone companies to operate outside the relevant free zone (i.e. onshore), then the New CCL shall be applicable to such free zone companies (article 5 of New CCL).	Not applicable to free zone companies.
Memorandum of Association in Arabic	
The Memorandum of Association of a company and each amendment thereto shall be made in Arabic and attested by the Notary Public, failing which the Memorandum of Association or the amendment thereto shall be invalid. If the Memorandum is issued in a foreign language in addition to Arabic, the Arabic text shall be the applicable text in the State (accordingly the companies may need to amend their MOAs). (Article 14)	
Share can be in cash or in kind	
The capital of the company shall be composed of either a contribution in cash or equivalent in contribution in kind. The partner may not contribute in work rendered, unless he is a joint partner. The contribution of the partner may not consist of his reputation or influence.(Article 17)	
Accounting records	
1. Each company shall maintain accounting records showing transactions, provided that such records would accurately and at any time demonstrate the Company's financial standing, and through which partners and Shareholders could verify that Company's accounts are maintained as per the provisions of this law. 2. Each company shall maintain its accounting records at its head office for at least five (5) years as from the company's fiscal year end date. 3. Company may maintain an electronic copy of originals of any documents and papers kept or deposited therewith as per the controls of which Minister's decision will be issued. (Article 26)	

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Company's accounts	
Each Joint Stock Company or Limited Liability Company shall have one or more auditors to audit annually the books of accounts. The company shall apply the International Accounting Standards and Practices upon preparing its periodical and annual accounts, to give a clear and accurate view of the profits and losses of the company. (Article 27)	
Company's fiscal year	
1. Each company shall have a fiscal year determined in its MOA, provided that first fiscal year may not exceed 18 months and may not be less than 6 months, and shall be calculated as from the company's registration Date in commercial register with the Competent Authority. 2. Following fiscal years shall be deemed as successive periods, 12months each, commencing immediately from expiry date of the preceding fiscal year. (Article 28)	
Distribution of profits & losses	
1. If partner's share in profits and losses is not determined in Company's MOA, it shall be as per percentage of his share in the capital. If Company's MOA only provides for profit share, then partners share in loss shall be equivalent to profit share and vice versa. 2. If partner's share in company is limited to his work, then his share in profits and losses must be determined in Company's MOA. If, in addition to physical work, the partner contributes with cash or in-kind share, he shall have a share in profits and losses against physical work and another share against cash or in-kind share. 3. If it is agreed in the Company's MOA to deprive a partner from profits, exempt him from losses or grant him a fixed interest against his share in the Company, the MOA shall be null and void. 4. It may be agreed to exempt from losses any partner who contributes only by effort, provided that certain remuneration is determined against such effort. (Article 29)	
Distribution of profits	
1. No fictitious profits may be distributed to partners or shareholders, and the board of directors or any person so authorized shall be liable towards shareholders, partners and creditors for any such procedures.	



2. If the company distributes any profits in violation of the provisions of this law and decisions issued by virtue of the same, the partner or shareholder shall refund whatever profits he received in violation of such provisions. Company's creditors may claim each partner or shareholder to refund any profits so received, even if in good faith. 3. Partners or shareholders may not be deprived from real profits they have received, even if the company sustains losses during the following years. (Article 30)	
Definition of Limited Liability Company	
1. Limited Liability Company is a company in which the number of partners is not less than two persons and no more than 50 persons, and each of them is held liable to the extent of his capital share. 2. One citizen, whether natural or artificial person, may incorporate and own a limited liability company, and owner of company's capital shall be held liable only to the extent of the capital stated in its MOA, and shall be subject to provisions of limited liability company enumerated in this law, without any contradictions with the nature of the company. (Article 71)	
Responsibility of preparing the accounts	
The Manager of the company shall prepare the annual budget and the profit and loss account, and shall also prepare an annual report on the affairs and financial position of the company and provide his recommendations on the distribution of the profits of the General Assembly, within three months from the end of the financial year. (Article 87)	
General Assembly	
The Limited Liability Company shall have a General Assembly consisting of all the partners. The General Assembly shall be convened by an invitation from the Manager or the Board of Directors at least once in a year during the four months following the end of the financial year of the company. Invitation to convene the General Assembly may be given by registered letters or by any other means as provided by the Memorandum Of Association, at least 15 (fifteen) days prior to the date as scheduled to hold the General Assembly, or within any shorter period as agreed by all the partners. (Article 92& 93)	



Auditing fiscal year accounts	
1. Company's fiscal year accounts shall be audited who shall submit a report on the same. Company's board of directors shall approve such accounts and forward the same to the General Assembly, together with auditor's report within 4 months from the end of each fiscal year. 2. Company shall deposit with SCA and competent authority a copy of accounts and auditors report within 7 days from the General Meeting at which accounts and auditors report was submitted. (Article 236)	
Accounting standards -International Accounting Standards	
Companies shall apply international accounting standards, when preparing interim or annual accounts and determining distributable profits. Such international accounting standards which are widely known as International Financial Reporting Standards (IFRS) will need to be applied by LLCs, PJSCs. (accordingly a conversion to IFRS will be needed by the users of local GAAP as defined in the financial statements.). (Article 237)	
Optional Reserve	
Articles of Association (AOA) of any joint stock company may provide for allocation of a certain percentage of net profits as an optional reserve for the purpose set out in AOA, and such reserve may not be used for any other purposes, save upon a resolution from the General Assembly of the company. (Article 240)	
Distribution of profits	
1. Company's General Assembly shall determine percentage of net profits to be distributed to shareholders, after deducting statutory and operational reserves. 2. Shareholder shall be entitled to share in profit according to the controls issued under a decision from SCA. 3. Subject to provision of item (1) of this Article, company's AOA may provide for annual, semi-annual or quarterly distribution of profits.	
Issuance of Auditor's Report	
1. Subject to provisions of Federal Law regulating Auditing Profession, as amended, auditors shall issue a report on audited accounts. If the company has more than one auditor, they shall distribute functions inter se, and each of them shall submit separate report addressing certain task entrusted thereto, and then they all shall submit a joint report for which they shall be jointly liable, and auditor shall state his name and affix his signature on such report.	

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2. Report must demonstrate whether company's accounts are maintained according to the provisions of this Law and whether they fairly reflect the company's financial standing. (Article 245)	
Subsidiary's auditor (Article 246)	
The subsidiary and its auditor shall provide such information and explanations as demanded by the auditor of the holding company for the purposes of audit. (Article 246)	
Contents of auditor's report	
1. The position of the company at the end of the financial year, particularly the balance sheet of the company; 2. The profits and losses account; 3. That the company keeps regular accounts; 4. Whether the company has purchased any shares or stocks during the financial year; 5. Whether the statements in the Board report are consistent with the books and records of the company; 6. A statement of the deals or financial transactions made between the company and any of the related parties and the procedures taken in that respect; 7. To state whether, within the limit of the information made available to the auditor, any contraventions of the provisions of this Law or the Articles of Association of the company have occurred during the financial year so as to adversely affect the activity or financial position of the company, whether such contraventions still exist or not and whether there are any penalties imposed on the company due to such contraventions; 8. To state whether there are penalties imposed on the company due to contraventions of this Law or the Articles of Association of the company during the ending financial year and whether such contraventions still exist; and 9. In the events of accounts of any group, to state the financial position at the end of the financial year and the profits and losses account of the holding company and its subsidiaries, including the consolidated statements as awhile, in connection with the relevant parties in the holding company. (Article 250)	



Joint audits	
If the company has more than one auditor, they shall distribute the duties among themselves and each of them shall provide a separate report on the issues of the task assigned to such auditor, and then all the auditors shall prepare a common report for which they shall be jointly liable. The auditor shall state his name on the report and sign it. (Article 254)	
Failure to invite the General Assembly in case of losses	
A fine of at least AED 50,000 (fifty thousand), but not more than AED 1,000,000 (one million) shall be imposed on the Chairman of a Joint Stock Company or the Chairman of a Limited Liability Company if the losses of the company reach fifty percent of its capital and the Board fails to invite the Annual General Assembly of the company to convene in accordance with the provisions of this Law. (Article 344)	
Failure to keep accounting records	
A fine of at least AED 50,000 (fifty thousand), but not more than AED 500,000 (five hundred thousand) shall be imposed on the national or foreign company that fails to keep accounting records for the company to state its deals. (Article 348)	

2. Key changes for Limited Liability Companies

New CCL	Old CCL
Sole Shareholder	
One natural person, or corporate entity, may be the sole shareholder of a LLC (article 71 of the New CCL), and one corporate entity may be a sole shareholder of a Private JSC (article 255 of the New CCL).	A company with sole shareholder is not permitted.
Share pledges	
Allows shareholders in LLCs to pledge their shares, and such pledges must be made in accordance with the company's memorandum and articles of association, and be notarized. Such pledges shall only be valid (against the company and/or relevant third parties) from the date of its entry on the commercial register (article 79 of New CCL).	No provision permitting shareholders in LLCs to pledge their shares.
Maximum number of directors/managers	
The management of an LLC can be undertaken by one or more directors / managers as determined by the company's memorandum and articles of association or the general assembly of the company (article 83 of New CCL).	A maximum of 5 directors / managers.

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Non-compete by directors/ managers	
Other than with the consent of the general assembly of the company, a director / manager is not permitted to manage another competing company (including another company with objects similar to the company) (article 86 of New CCL).	No provision explicitly restricting directors / managers from managing competing businesses.
Valuation of shares for non-cash consideration	
Valuation of shares can be assessed in kind either by:	Shareholders can agree to a valuation of shares in kind, and such valuation is prescribed in the company's memorandum and articles of association.
(a) agreement with all of the shareholders, and subject to the approval of the DED; or	
(b) By a financial consultant approved by DED (article 78 of New CCL).	

There are, of course various other changes that have been introduced in the new CCL that have not been discussed in this article. However, this article aims to provide an overview of the key provisions rather than an exhaustive list of all the changes.

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